

A Smart Way to Secure Your Child's Future: Understanding Children's Mutual Funds



Ankit Nayata
Partner, Nayata MF Service LLP

Raising a child has always required planning, but today the financial stakes are far higher. Education costs in India are rising faster than general inflation. An MBA that cost ₹10–12 lakh a decade ago can now demand ₹25–30 lakh at a reputable institute. Private medical seats often cross ₹1 crore over five years, and the cost for engineering degrees have doubled in many colleges. All this makes one thing clear: parents cannot rely on ad-hoc savings. Structured, long-term planning is the only way to stay ahead of education inflation.

A Children's Fund offers a practical solution. This is an open-ended mutual fund designed specifically for long-term child-related goals. These schemes

come with a mandatory lock-in of at least five years or until the child turns 18, whichever is earlier. The purpose is straightforward: build a disciplined investment pool for education, training, and future milestones such as overseas applications or specialised courses. The lock-in ensures the money serves its intended purpose.

Parents often prefer a dedicated basket for such goals because of clear behavioural advantages. When money is earmarked, it is less likely to be touched for impulse spending or short-term needs. The emotional comfort is real: knowing that the child's future fund is ring-fenced reduces anxiety. There is a financial benefit too. Because children's goals are long-dated, the investment horizon naturally suits equity-oriented strategies, which tend to outperform traditional savings over long periods.

How do these funds invest? Most Children's Funds follow an equity-heavy allocation to capture long-term growth from the stock market. Some adopt a hybrid approach, blending equity with debt to offer stability. Fund managers usually rely on fundamental stock picking and maintain diversified portfolios across sectors. Many schemes use a mix of top-down assessments and bottom-up company research to balance growth with risk. The lock-in helps the fund manager stay patient, avoid forced selling, and take long-term calls without worrying about sudden redemptions.

Starting early makes a bigger difference than most parents realise. The longer the horizon, the smaller the monthly savings required to reach the same goal.

Early SIPs help beat inflation and allow compounding to work silently in the background. Delay, on the other hand, raises the burden sharply. For example, beginning a SIP when a child is one year old allows 15–17 years of compounding. Starting the same plan at age ten means the monthly investment must be far higher to reach a similar corpus. This difference captures the real "cost of delay".

Children's Funds also offer features that support disciplined planning. The lock-in enforces commitment. Most schemes allow multiple accounts if parents want separate baskets for siblings. There are SIP and lump-sum options, plus the flexibility of annual top-ups.

These funds suit a wide range of families. Parents of newborns can start small and build gradually. Those with toddlers or school-going children can plan for higher studies. Even parents of teenagers can use the remaining years to prepare for costly entrance exams or overseas applications. Anyone seeking a structured, long-term, market-linked plan for their child will find these schemes useful.

That said, the risks must be understood. Equity can be volatile in the short run, and these are not guaranteed-return products. A review every two to three years helps ensure the plan stays aligned with the goal. Withdrawals are possible only after the lock-in.

Planning early gives children more choices later. Dreams need steady financial backing, not last-minute scrambling. A Children's Fund helps parents stay prepared when it matters most.